

Adobe Inc (ADBE US)

Upgrade to Buy: Irrational despondence

- ◆ Boost estimates to reflect 2QFY26 results and broader business environment
- ◆ FY26-28e non-GAAP EPS estimates increase by c3-8%
- ◆ TP rises to USD308.00 (from USD282.00) on higher estimates; upgrade to Buy on new lower risk assessment

Strong momentum continues: Recalling that Adobe's 2QFY26 revenue rose 12.7% y-o-y and that the company guided to FY26 revenue growth of 11.8%, we have yet to see any material impact from AI-powered competitors, and with this report we have reevaluated the risk associated with these new competitive threats. Adobe maintains strong revenue growth even though AI design tools were some of the first major AI applications available in the market and there have been concerns these will displace traditional software products such as Adobe's. We adjust our estimates based on our updated assessment of a more modest impact to Adobe's operations as AI power editing tools continue to evolve. Adobe's platform has proved to be "sticky" due to user workflow familiarity and new AI-powered features (both Adobe and third-party tools) being embedded, in our view. Consequently, we believe the market is overestimating the adverse impact of AI-based design tools and that reward now outweighs risks, and recent results continue to be strong. Total remaining performance obligations and current RPO rose 13.1% y-o-y in 2QFY26, and after a post-pandemic surge in FY21, Adobe's revenue and cRPO growth have settled at a low-double-digit CAGR and show no signs of disruption due to AI thus far. Adobe is monetizing AI, with AI first revenue rising 3x y-o-y, though it was still only c2% of 2QFY26 revenue. Ironically this suggests that, even within Adobe's installed base, switching to new AI-powered features is not a "replacement" to users' normal work patterns.

Resilient margins: 2QFY26 non-GAAP operating margin dipped 103bp y-o-y to 44.5%. The company projects FY26 non-GAAP operating margin of c45% (FY25: 46.2%). We believe the Semrush acquisition and growth in freemium users are key reasons for the margin dilution. The company increased FY26 non-GAAP EPS guidance to USD24.4 from USD23.4 (pre-results consensus: USD23.48). Moreover, Adobe bought back USD2,202m of shares in 2QFY26 (1QFY26: USD2,517m), far exceeding share-based compensation of USD565m. The number of diluted shares has gradually declined (to 402m in 2QFY26 from 475m in 1QFY22).

Attractive valuation: Adobe trades at 8.5x CY26e non-GAAP PE (sector median: 21.9x), but we expect a 12% EPS CAGR over FY25-30e, which is in line with 10-15% for the sector. Our target price increase to USD308.00 (from USD282.00) is 12x our next-12-month non-GAAP EPS estimate of USD25.68 (from USD23.52) and implies 50.2% upside. We upgrade our rating to Buy (from Hold).

**Equities
Software**

United States



UPGRADE TO BUY

TARGET PRICE (USD)

308.00

PREVIOUS TARGET (USD)

282.00

SHARE PRICE (USD)

205.02

(as of 30 Jun 2026)

UPSIDE/DOWNSIDE

+50.2%

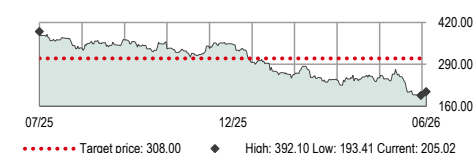
MARKET DATA

Market cap (USDm)	81,495	Free float	100%
Market cap (USDm)	81,495	BBG	ADBE US
3m ADTV (USDm)	1,450	RIC	ADBE.OQ

FINANCIALS AND RATIOS (USD)

Year to	11/2025a	11/2026e	11/2027e	11/2028e
HSBC EPS	20.94	24.25	27.21	30.29
HSBC EPS (prev)	20.94	23.41	25.59	27.97
Change (%)	0.0	3.6	6.3	8.3
Consensus EPS	20.84	24.37	27.50	31.00
PE (x)	9.8	8.5	7.5	6.8
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	8.5	8.1	7.4	6.8
ROE (%)	69.5	84.7	90.4	90.6

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Financials & valuation: Adobe Inc

Buy

Financial statements

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Profit & loss summary (USDm)				
Revenue	23,769	26,518	28,639	30,644
EBITDA	9,525	10,110	10,879	11,420
Depreciation & amortisation	-818	-752	-638	-507
Operating profit/EBIT	8,707	9,358	10,241	10,914
Net interest	-263	-269	-283	-283
PBT	8,735	9,311	10,170	10,899
HSBC PBT	10,971	11,892	12,791	13,693
Taxation	-1,604	-1,908	-1,831	-1,962
Net profit	7,131	7,404	8,339	8,937
HSBC net profit	8,941	9,740	10,488	11,228
Cash flow summary (USDm)				
Cash flow from operations	10,129	10,727	11,567	12,039
Capex	-179	-240	-240	-255
Cash flow from investment	-1,187	-1,385	-240	-255
Dividends	0	0	0	0
Change in net debt	1,873	559	-1,446	-2,006
FCF equity	9,950	10,487	11,328	11,785
Balance sheet summary (USDm)				
Intangible fixed assets	13,352	15,053	15,053	15,053
Tangible fixed assets	5,981	5,602	5,257	5,053
Current assets	10,163	10,593	12,278	14,578
Cash & others	6,595	6,471	7,917	9,922
Total assets	29,496	31,248	32,587	34,684
Operating liabilities	11,663	13,213	14,140	15,053
Gross debt	6,210	6,645	6,645	6,645
Net debt	-385	174	-1,272	-3,277
Shareholders' funds	11,623	11,390	11,802	12,985
Invested capital	11,238	11,564	10,531	9,708

Ratio, growth and per share analysis

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Y-o-y % change				
Revenue	10.5	11.6	8.0	7.0
EBITDA	25.4	6.1	7.6	5.0
Operating profit	29.2	7.5	9.4	6.6
PBT	26.0	6.6	9.2	7.2
HSBC EPS	13.7	15.8	12.2	11.3
Ratios (%)				
Revenue/IC (x)	2.1	2.3	2.6	3.0
ROIC	61.6	65.3	76.0	88.4
ROE	69.5	84.7	90.4	90.6
ROA	24.6	25.1	26.9	27.3
EBITDA margin	40.1	38.1	38.0	37.3
Operating profit margin	36.6	35.3	35.8	35.6
EBITDA/net interest (x)	36.2	37.5	38.5	40.4
Net debt/equity	-3.3	1.5	-10.8	-25.2
Net debt/EBITDA (x)	-0.0	0.0	-0.1	-0.3
CF from operations/net debt		6,167.5		
Per share data (USD)				
EPS Rep (diluted)	16.70	18.43	21.63	24.11
HSBC EPS (diluted)	20.94	24.25	27.21	30.29
DPS	0.00	0.00	0.00	0.00
Book value	27.22	28.36	30.62	35.03

Key forecast drivers

Year to	11/2025a	11/2026e	11/2027e	11/2028e
Revenue growth, y-o-y, %	11	12	8	7
HSBC EPS growth, y-o-y, %	14	16	12	11
Gross margin, %	90	90	90	90
Operating margin, %	46	45	45	45

Valuation data

Year to	11/2025a	11/2026e	11/2027e	11/2028e
EV/sales	3.4	3.1	2.8	2.6
EV/EBITDA	8.5	8.1	7.4	6.8
EV/IC	7.2	7.1	7.6	8.1
PE*	9.8	8.5	7.5	6.8
PB	7.5	7.2	6.7	5.9
FCF yield (%)	12.2	12.9	13.9	14.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	11/2024a	Governance Indicators	11/2025a
GHG emission intensity*	3.3	No. of board members	12
Energy intensity*	10.6	Average board tenure (years)	8.4
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	91.7
11/2024a			
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

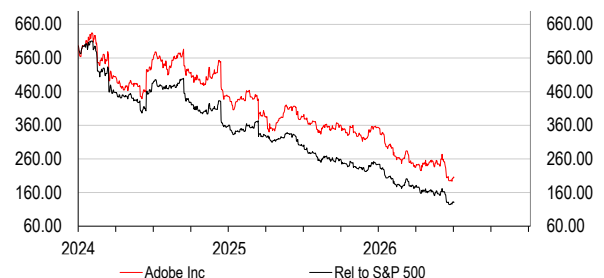
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	205.02	Free float	100%
Target price (USD)	308.00	Sector	Software
RIC (Equity)	ADBE.OQ	Country/Region	United States
Bloomberg (Equity)	ADBE.OQ	Analyst	Stephen Bersey
Market cap (USDm)	81,495	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 30 Jun 2026

Business momentum remains strong

Adobe continues to enjoy strong revenue growth even though AI design tools were some of the first major AI applications available in the market, and there have been concerns these will displace traditional software products such as Adobe's. OpenAI launched DALL-E in early 2021, and Dall-E-3 was unveiled in September 2023 and rolled out to ChatGPT Plus and Enterprise users in October 2023. It appears to us that users typically use AI tools for initial ideation and give the finishing touches and/or edits in deterministic software products like the ones Adobe provides.

Adobe: Evolution of results

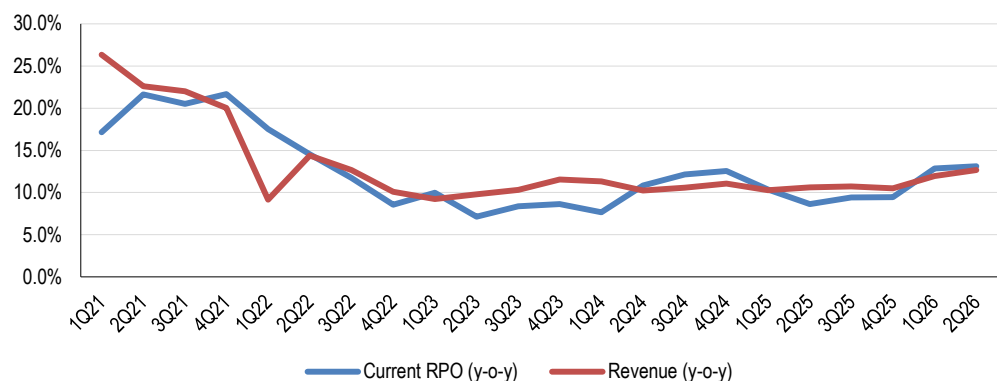
USDm, FYE Nov	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26e	4QFY26e	1QFY27e	2QFY27e	3QFY27e	4QFY27e	3QFY26 guidance
Revenue	5,714	5,873	5,988	6,194	6,398	6,618	6,689	6,813	6,910	7,147	7,224	7,358	6,695
y-o-y	10.3%	10.6%	10.7%	10.5%	12.0%	12.7%	11.7%	10.0%	8.0%	8.0%	8.0%	8.0%	11.8%
Non-GAAP cash costs	-2,999	-3,199	-3,215	-3,371	-3,363	-3,673	-3,660	-3,797	-3,754	-3,958	-3,959	-4,107	
y-o-y	10.5%	11.5%	11.1%	12.0%	12.1%	14.8%	13.9%	12.6%	11.6%	7.8%	8.2%	8.2%	
Non-GAAP operating profit	2,715	2,674	2,773	2,823	3,035	2,945	3,029	3,017	3,156	3,189	3,264	3,252	
Margin	47.5%	45.5%	46.3%	45.6%	47.4%	44.5%	45.3%	44.3%	45.7%	44.6%	45.2%	44.2%	
Share-based compensation	-511	-524	-562	-525	-518	-565	-628	-578	-560	-611	-678	-624	
As a % of revenue	8.9%	8.9%	9.4%	8.5%	8.1%	8.5%	9.4%	8.5%	8.1%	8.5%	9.4%	8.5%	
Other "one-off" costs	-41	-41	-38	-37	-99	-142	-37	-37	-37	-37	-37	-37	
GAAP operating profit	2,163	2,109	2,173	2,261	2,418	2,238	2,364	2,402	2,559	2,542	2,549	2,591	
Margin	37.9%	35.9%	36.3%	36.5%	37.8%	33.8%	35.3%	35.2%	37.0%	35.6%	35.3%	35.2%	
Non-GAAP net profit	2,224	2,171	2,252	2,293	2,488	2,400	2,461	2,455	2,571	2,600	2,663	2,655	
Non-GAAP EPS	5.08	5.06	5.31	5.50	6.06	5.96	6.17	6.22	6.58	6.71	6.94	6.99	6.08
y-o-y	13.4%	12.9%	14.2%	14.3%	19.3%	17.8%	16.2%	13.1%	8.6%	12.6%	12.5%	12.4%	14.4%
Total debt	6,155	6,166	6,200	6,210	6,228	6,645	6,645	6,645	6,645	6,645	6,645	6,645	
Cash & equivalent	7,435	5,713	5,940	6,595	6,890	5,626	6,159	6,471	6,601	6,828	7,105	7,917	
Net debt	-1,280	453	260	-385	-662	1,019	486	174	44	-183	-460	-1,272	
Operating cash flow	2,482	2,191	2,198	3,160	2,958	2,165	3,225	2,965	2,770	2,885	2,965	3,465	
Capex	-26	-47	-72	-34	-37	-58	-92	-53	-40	-58	-87	-54	
FCF	2,456	2,144	2,126	3,126	2,921	2,107	3,133	2,912	2,730	2,827	2,878	3,411	

Source: Company data, HSBC estimates

Remaining performance obligations growth remains resilient

Total remaining performance obligations (RPO) and current RPO rose 13.1% y-o-y in 2QFY26. After a post-pandemic surge in FY21, Adobe's revenue and cRPO growth has settled at low-double-digit CAGRs and show no signs of disruption due to AI thus far.

Adobe: Revenue and cRPO remains resilient



Source: Company data, HSBC

Adobe buying back shares aggressively

Adobe bought back USD2,202m of shares in 2QFY26 (1QFY26: USD2,517m), far exceeding share-based compensation of USD565m. The number of diluted shares has gradually declined (to 402m in 2QFY26 from 475m in 1QFY22).

Adobe also completed the USD1,870m acquisition of Semrush in April 2026, which added USD480m of annual recurring revenue to Adobe.

Adobe: Summary sheet

USDm, FYE Nov	FY21	FY22	FY23	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e	FY26 guidance
Revenue	15,785	17,606	19,409	21,505	23,769	26,518	28,639	30,644	32,483	34,432	26,550
y-o-y		11.5%	10.2%	10.8%	10.5%	11.6%	8.0%	7.0%	6.0%	6.0%	11.7%
Non-GAAP cash costs	-8,526	-9,661	-10,491	-11,486	-12,783	-14,556	-15,778	-16,937	-17,999	-19,129	
y-o-y		13.3%	8.6%	9.5%	11.3%	13.9%	8.4%	7.3%	6.3%	6.3%	
Non-GAAP operating profit	7,259	7,945	8,918	10,019	10,986	11,962	12,862	13,708	14,484	15,303	11,948
Margin	46.0%	45.1%	45.9%	46.6%	46.2%	45.1%	44.9%	44.7%	44.6%	44.4%	45.0%
Share-based compensation	-1,285	-1,652	-1,984	-2,002	-2,122	-2,289	-2,473	-2,646	-2,805	-2,973	
As a % of revenue	8.1%	9.4%	10.2%	9.3%	8.9%	8.6%	8.6%	8.6%	8.6%	8.6%	
Other "one-off" costs	-172	-195	-284	-1,276	-157	-315	-148	-148	-148	-148	
GAAP operating profit	5,802	6,098	6,650	6,741	8,707	9,358	10,241	10,914	11,531	12,182	
Margin	36.8%	34.6%	34.3%	31.3%	36.6%	35.3%	35.8%	35.6%	35.5%	35.4%	
Non-GAAP net profit	6,003	6,457	7,377	8,281	8,941	9,740	10,488	11,228	11,901	12,635	
Non-GAAP EPS	12.48	13.71	16.06	18.42	20.94	24.25	27.21	30.29	33.40	36.91	24.40
y-o-y		9.9%	17.1%	14.7%	13.7%	15.8%	12.2%	11.3%	10.3%	10.5%	16.5%
Total debt	4,123	4,129	3,634	5,628	6,210	6,645	6,645	6,645	6,645	6,645	
Cash & equivalent	5,798	6,096	7,842	7,886	6,595	6,471	7,917	9,922	12,184	14,954	
Net debt	-1,675	-1,967	-4,208	-2,258	-385	174	-1,272	-3,277	-5,539	-8,309	
Operating cash flow	7,223	7,838	7,302	8,056	10,032	11,314	12,085	12,661	12,931	13,456	
Capex	-330	-442	-360	-183	-179	-240	-240	-255	-270	-286	
FCF	6,893	7,396	6,942	7,873	9,853	11,074	11,846	12,406	12,661	13,170	
Acquisitions	-2,682	-126	0	0	0	-1,560	0	0	0	0	
Dividends	0	0	0	0	0	0	0	0	0	0	
Share buybacks	-4,459	-6,893	-4,799	-9,912	-11,550	-9,979	-10,520	-10,520	-10,520	-10,520	

Source: Company data, HSBC estimates

Changes in HSBC estimates

We increase our FY26-28e revenue estimates by 2-4% to reflect better-than-expected 2QFY26 results and continued strong business momentum. Non-GAAP EPS estimates rise more significantly due to share buybacks.

We are also introducing our FY29 and FY30 estimates.

Adobe: Changes in HSBC estimates

USDm, FYE Nov	FY24	FY25	FY26e	FY27e	FY28e	FY29e	FY30e
Revenue							
Old	21,505	23,769	25,893	27,533	29,736	NA	NA
New	21,505	23,769	26,518	28,639	30,644	32,483	34,432
Change	0.0%	0.0%	2.4%	4.0%	3.1%	NA	NA
Non-GAAP operating profit							
Old	10,019	10,986	11,691	12,558	13,531	NA	NA
New	10,019	10,986	11,962	12,862	13,708	14,484	15,303
Change	0.0%	0.0%	2.3%	2.4%	1.3%	NA	NA
Non-GAAP net profit							
Old	8,281	8,941	9,477	10,239	11,057	NA	NA
New	8,281	8,941	9,740	10,488	11,228	11,901	12,635
Change	0.0%	0.0%	2.8%	2.4%	1.5%	NA	NA
Non-GAAP EPS							
Old	18.42	20.94	23.41	25.59	27.97	NA	NA
New	18.42	20.94	24.25	27.21	30.29	33.40	36.91
Change	0.0%	0.0%	3.6%	6.3%	8.3%	NA	NA

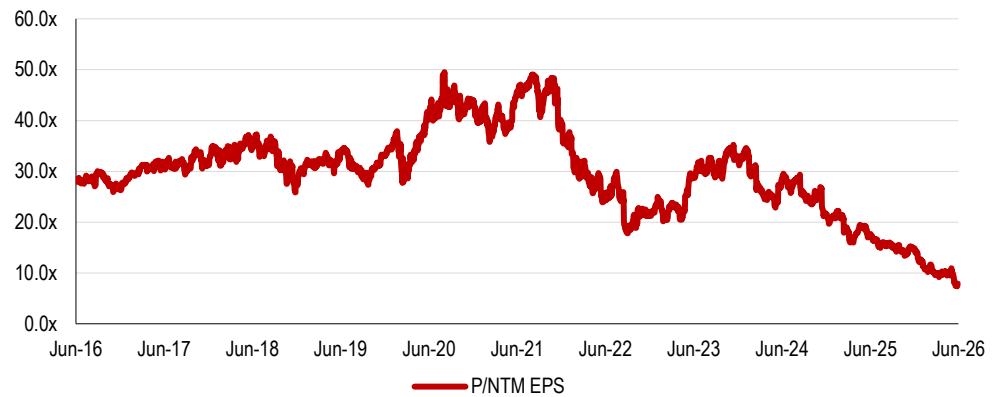
Source: Company data, HSBC estimates

Attractive valuation
Comparative valuation

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP)		PE (GAAP)		EV/EBIT (non-GAAP)		EV/EBIT (GAAP)	
					CY25	CY26e	CY25	CY26e	CY25	CY26e	CY25	CY26e
Oracle	ORCL US	Buy	146.55	316.00	21.2x	19.8x	27.5x	27.9x	19.6x	16.7x	27.7x	22.3x
Apple	AAPL US	Hold	289.36	260.00	37.1x	32.2x	37.1x	32.2x	30.8x	26.3x	30.8x	26.3x
Adobe	ADBE US	Buy	205.02	308.00	9.8x	8.5x	12.3x	11.1x	7.9x	6.9x	10.0x	8.8x
Autodesk	ADSK US	Buy	194.42	357.00	18.6x	15.1x	37.2x	22.4x	15.4x	12.3x	26.7x	17.5x
Akamai	AKAM US	Buy	118.21	171.00	16.6x	17.5x	38.4x	38.6x	15.6x	16.9x	29.7x	31.2x
Amazon	AMZN US	Buy	238.34	310.00	25.4x	21.9x	33.2x	26.7x	25.1x	20.9x	32.6x	25.3x
Asana	ASAN US	Reduce	7.00	5.75	26.9x	20.0x	NM	NM	22.0x	14.5x	NM	NM
Salesforce	CRM US	Buy	156.66	356.00	12.5x	10.7x	20.1x	19.5x	10.9x	9.9x	18.6x	17.3x
CrowdStrike	CRWD US	Buy	763.14	771.00	NM	151.7x	NM	NM	182.7x	129.0x	NM	NM
CoreWeave	CRWV US	Reduce	99.54	36.00	NM	NM	NM	NM	91.2x	110.4x	NM	NM
Cisco	CSCO US	Buy	117.46	137.00	29.4x	25.6x	41.2x	32.9x	23.7x	20.5x	46.9x	27.6x
DocuSign	DOCU US	Hold	44.42	51.00	11.6x	9.8x	30.0x	23.6x	8.6x	7.3x	27.9x	17.5x
Fair Isaac	FICO US	Reduce	1,194.78	707.00	38.0x	23.7x	44.2x	27.1x	27.9x	17.9x	32.7x	20.4x
Fortinet	FTNT UW	Reduce	153.62	102.00	55.7x	46.8x	63.4x	53.3x	46.9x	39.4x	54.3x	45.1x
Coming	GLW US	Buy	255.43	226.00	101.0x	75.6x	138.8x	99.0x	70.2x	54.3x	100.4x	69.3x
HP	HPQ US	Buy	21.94	29.60	6.9x	6.6x	8.3x	8.9x	6.6x	6.3x	8.9x	8.3x
IBM	IBM US	Hold	281.21	231.00	24.3x	22.8x	25.2x	27.9x	22.2x	20.4x	26.5x	24.1x
Intuit	INTU US	Buy	261.00	707.00	11.9x	10.1x	16.9x	14.7x	9.4x	7.4x	14.0x	10.8x
Meta	META US	Buy	563.29	905.00	24.0x	18.0x	24.0x	18.0x	17.1x	17.0x	17.1x	17.0x
Microsoft	MSFT US	Buy	373.02	571.00	24.1x	19.9x	23.3x	20.4x	19.2x	16.2x	19.2x	16.2x
ServiceNow	NOW US	Buy	99.28	177.00	28.3x	23.5x	59.4x	46.9x	23.0x	18.0x	52.3x	38.3x
Nvidia	NVDA US	Buy	200.09	325.00	41.9x	23.0x	40.8x	21.7x	35.3x	18.2x	37.2x	18.3x
Palo Alto Networks	PANW US	Reduce	341.02	207.00	91.9x	91.7x	188.4x	NM	81.8x	75.8x	168.3x	NM
Palantir	PLTR US	Hold	116.67	151.00	156.2x	76.8x	184.2x	83.4x	129.6x	62.1x	NM	85.5x
SAP (EUR)	SAP GR	Buy	134.00	185.00	22.0x	19.0x	21.5x	19.7x	14.8x	13.3x	15.7x	13.8x
Snowflake	SNOW US	Buy	254.50	289.00	203.6x	137.6x	NM	NM	189.3x	110.6x	NM	NM
TE Connectivity	TEL US	Hold	201.61	234.00	21.2x	17.7x	29.1x	18.0x	17.5x	14.3x	23.2x	15.1x
Zoom	ZM US	Buy	86.31	133.00	14.6x	13.7x	13.9x	18.4x	9.5x	8.2x	16.7x	12.9x
Median					24.2x	21.9x	31.6x	26.9x	22.2x	17.9x	27.8x	21.3x

Source: LSEG Datastream, company data, HSBC estimates. Pricing as of 30 June 2026.

Adobe trading at a significant discount to historical P/NTM non-GAAP EPS



Source: LSEG Datastream, HSBC estimates *Using Datastream consensus

Adobe trades at 8.5x CY26e non-GAAP PE (sector median: 21.9x), but we expect a 12% EPS CAGR over FY25-30e, which is in line with 10-15% for the sector. Our increased target price of USD308.00 (from USD282.00) is based on 12x our next-12-month non-GAAP EPS estimate of USD25.68 (from USD23.52) and implies 50.2% upside. We upgrade our rating to Buy (from Hold).

Downside risks: Unfavorable stock market or macroeconomic conditions; worse-than-expected competitive intensity, especially from competing AI-driven products; potential negative impact from an external IT hack to Adobe's products; and disruptions due to management turnover.

Disclosure appendix

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

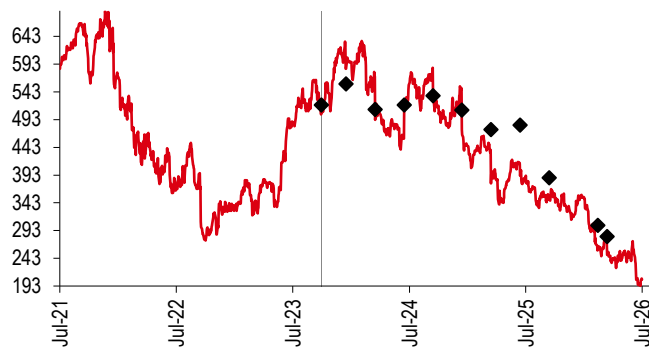
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Adobe Inc (ADBE.OQ) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Hold	28 Sep 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	519.00	28 Sep 2023	Stephen Bersey
Price 2	557.00	15 Dec 2023	Stephen Bersey
Price 3	511.00	15 Mar 2024	Stephen Bersey
Price 4	519.00	14 Jun 2024	Stephen Bersey
Price 5	536.00	13 Sep 2024	Stephen Bersey
Price 6	510.00	12 Dec 2024	Stephen Bersey
Price 7	475.00	13 Mar 2025	Stephen Bersey
Price 8	483.00	13 Jun 2025	Stephen Bersey
Price 9	388.00	12 Sep 2025	Stephen Bersey
Price 10	302.00	12 Feb 2026	Stephen Bersey
Price 11	282.00	13 Mar 2026	Stephen Bersey

Source: HSBC

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ADOBE INC	ADBE.OQ	205.02	30 Jun 2026	7

Source: HSBC

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